

FRONT ROW AT BRICS Iran president Masoud Pezeshkian, PM Modi, Chinese president Xi Jinping and Russian president Vladimir Putin at BRICS Summit, Sept. 12

REUTERS

The trade numbers bear this out in granular, almost alarming detail. Ajay Srivastava of the Global Trade Research Initiative calculates that India's exports to China were just $19.5 billion (Rs 1.87 lakh crore) in FY26, still below the $21.2 billion (Rs 2.03 lakh crore) recorded before COVID. But the big worry is that imports have more than doubled, from $65.2 billion (Rs 6.26 lakh crore) to $131.6 billion (Rs 12.62 lakh crore), over the same period. The resulting trade deficit has exploded from $44 billion (Rs 4.22 lakh crore) to $112.1 billion (Rs 10.75 lakh crore), a 155 per cent increase in five years.

But the scale of the deficit, Srivastava argues, is only half the story; the composition is what should worry policymakers most. China now supplies around 16 per cent of India's total imports—and a striking 30.8 per cent of its industrial imports. Also, an extraordinary 86.5 per cent of everything India imports from China is industrial goods rather than consumer products or agricultural produce.

Four categories alone—electronics, machinery, computers and organic chemicals—account for $82.6 billion (Rs 7.92 lakh crore), or two-thirds of all Chinese imports. The result is that China accounts for 43 per cent of India's electronics imports, 40 per cent of its machinery and computer imports and 44 per cent of its organic chemicals. "India's trade with China is no longer just a deficit story," Srivastava says. "It is a production-dependence story." The worry is that China is not merely selling finished goods to Indian consumers but is also powering Indian factories, which makes abrupt decoupling economically unrealistic even as it creates dangerous choke points in pharmaceuticals, electronics, automobiles, EVs and clean energy.

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Not every voice in this debate, though, assigns China sole responsibility. Tangen offers a deliberately contrarian reading from the Chinese side: Beijing alone, he argues, cannot be blamed for an imbalance sustained partly because Indian consumers and manufacturers keep choosing Chinese products for their price, scale and quality. He says even removing Chinese imports outright would likely just mean India buying costlier alternatives elsewhere. "The new economic equation cannot be built around grievance alone," says Tangen. "India needs Chinese inputs where they genuinely enhance competitiveness while building the domestic capability to reduce dependence over time. This is reciprocity without illusion."

It is against this backdrop that India's calibrated reopening to Chinese capital becomes significant. After Galwan,